

Crescent CLO 2026-2

Synthetic Transaction Description and Selected Offering Terms

Fictional-document notice. Crescent CLO 2026-2 is a wholly synthetic transaction created for retrieval-augmented generation testing. Crescent Capital Management, LLC, the Issuer, the Co-Issuer, and all numerical data described herein are fictional. This document does not describe an actual security or offering.

1. Transaction Overview

Crescent CLO 2026-2 (the 'Transaction') is a \$525.0 million cash flow collateralized loan obligation managed by Crescent Capital Management, LLC. The Transaction is structured as a U.S. dollar-denominated investment vehicle primarily targeting senior secured corporate loans. The Issuer is Crescent CLO 2026-2, Ltd., an exempted company incorporated under the laws of the Cayman Islands, and Crescent CLO 2026-2, LLC acts as the Co-Issuer.

The capital structure is designed with multiple tranches of rated debt, providing varied risk-return profiles for institutional investors. Subordinated notes represent the equity component, absorbing the first loss in the event of portfolio credit deterioration. The non-call period is two years, providing stability during the initial ramp-up phase.

1.1 Transaction Summary and Capitalization

Parameter / Class	Value / Amount	Rating	Spread / Terms
Issuer	Crescent CLO 2026-2, Ltd.	--	--
Collateral Manager	Crescent Capital Management	--	--
Closing Date	September 15, 2026	--	--
Legal Final Maturity	October 20, 2038	--	--
Reinvestment Period	5 Years (2031)	--	--
Target Collateral	\$500,000,000	--	--
Class A Notes	\$315,000,000	AAA / Aaa	3m SOFR + 1.45%
Class B Notes	\$60,000,000	AA / Aa2	3m SOFR + 2.10%
Class C Notes	\$32,500,000	A / A2	3m SOFR + 3.25%
Class D Notes	\$27,500,000	BBB / Baa2	3m SOFR + 4.50%
Class E Notes	\$20,000,000	BB / Ba2	3m SOFR + 7.85%
Subordinated Notes	\$70,000,000	NR	Residual

2. Collateral Portfolio and Quality

The portfolio is managed with a focus on senior secured loans, which must represent at least 90% of the total collateral balance. The Weighted Average Spread (WAS) trigger is 3.50%, and the Moody's Weighted Average Rating Factor (WARF) is capped at 3,100. The Diversity Score for the portfolio is targeted at 65, ensuring no single industry or obligor dominates the credit risk. The single obligor limit is 2.0% of the aggregate principal balance.

3. Coverage and Interest Diversion

To protect senior noteholders, the transaction features Overcollateralization (OC) and Interest Coverage (IC) tests. The Class A/B OC test has a required threshold of 122.5%. Failure of any OC test results in the redirection of interest proceeds to pay down the principal of senior notes. Additionally, during the reinvestment period, an Interest Diversion Test is applied; if the Class E OC ratio falls below 106.5%, a portion of interest is redirected to purchase additional collateral.

4. Redemption and Fees

Optional redemption is permitted after October 20, 2028, at the direction of the subordinated noteholders. The Collateral Manager receives a Base Management Fee of 0.15% per annum and a Subordinated Management Fee of 0.35% per annum. An incentive fee of 20% is applicable once a 12% IRR is achieved for the subordinated interest holders.

5. Reporting and Risks

The Collateral Administrator provides monthly reports covering asset details, rating changes, and compliance test results. Key risks include credit default risk within the leveraged loan portfolio, interest rate basis risk between SOFR tenors, and reinvestment risk during periods of market volatility.